



The
Motivated
Mind Group

SALES COMMISSION AGREEMENT

Alternative: Revenue-Based · Jeff Gibbs · Confidential

MMG Global LLC — WBENC Certified Women-Owned

Sales Commission Agreement — Alternative: Revenue-Based

with Margin Integrity Approval

This is an alternative plan design, not a replacement. It runs alongside MMG's Commissionable-Gross-Profit (CGP) plan as a separate option under evaluation. The starting rates below (10% / 12% / 15%) are placeholders sized to land close to the CGP plan's blended economics — confirm or adjust before this is finalized.

This Sales Commission Agreement (this “**Agreement**”) is entered into as of _____ (the “**Effective Date**”), by and between **MMG Global LLC**, an Arizona limited liability company d/b/a The Motivated Mind Group, with its principal place of business at 260 S Arizona Ave, Chandler, AZ 85225 (“**MMG**” or the “**Company**”), and **Jeff Gibbs** (the “**Sales Representative**”). MMG and the Sales Representative are each a “**Party**” and together the “**Parties**.”

1. Purpose

This Agreement establishes the terms under which the Sales Representative earns commissions on sales of MMG products and services. Commission is calculated on **Approved Contract Value (Revenue)**, not gross profit — and every quote passes through a **Margin Integrity Approval** gate before its commission rate is agreed, so pricing discipline is checked at the same moment the commission basis is set.

2. Definitions

1. “**Approved Contract Value**” means the total selling price of a customer engagement as stated in the customer proposal, statement of work, or contract approved by MMG management, as such value may be increased or decreased solely by an approved Change Order.

2. **“Approved Pricing Worksheet”** means the internal pricing worksheet prepared by MMG for each proposal before it is sent to the customer, setting out the Approved Contract Value, the Approved Direct Delivery Costs, the resulting Gross Margin %, and the Margin Integrity Approval, all approved in writing (including email or electronic approval) before the proposal is sent to the customer.
3. **“Approved Direct Delivery Costs”** means, for a given engagement, solely (a) the labor costs of MMG employees specifically budgeted for that engagement, and (b) the labor costs of approved subcontractors and freelancers (including, without limitation, video production, instructional design, animation, and specialized consulting talent) specifically budgeted for that engagement, in each case as identified in the Approved Pricing Worksheet. Approved Direct Delivery Costs expressly **exclude** all company overhead and operating expenses, including without limitation rent, executive salaries, software subscriptions, marketing, general and administrative expenses, and office overhead.
4. **“Gross Margin %”** means, for a given engagement, the Approved Contract Value less the Approved Direct Delivery Costs, divided by the Approved Contract Value, expressed as a percentage and shown on the Approved Pricing Worksheet. Gross Margin % is fixed at the quoted figure for commission purposes and is not recalculated based on actual project costs or profitability.
5. **“Margin Integrity Approval”** means the written approval of the Gross Margin % shown on the Approved Pricing Worksheet by **Bill Gusmano**, or a successor or designee he identifies in writing to the Sales Representative. Margin Integrity Approval must be obtained, and the resulting Commission Rate for that engagement agreed, **before** the proposal is sent to the customer. No commission accrues on any engagement lacking Margin Integrity Approval.
6. **“Change Order”** means a written modification to a customer contract, approved by both MMG management and the customer, that increases or decreases the Approved Contract Value. A Change Order that changes the Approved Contract Value or the Approved Direct Delivery Costs requires a revised Approved Pricing Worksheet and a new Margin Integrity Approval, and the Commission Rate is reset accordingly for amounts invoiced on or after the Change Order date.
7. **“Named and Approved Account”** means a customer account — or a defined portion of a customer account, such as a specific division, business unit, buying group, or opportunity — that the Sales Representative has requested in writing and that MMG has expressly approved in writing as commissionable for that Sales Representative (recorded in Exhibit B). MMG may grant, deny, scope, condition, or prospectively revoke any such approval in

its sole discretion. Approval of a portion of an account does not make any other portion of that account commissionable. Commissions under Section 4 are earned **only** on Named and Approved Account engagements.

8. **Default — no commission without approval.** Every account, and every portion of an account, that is not a Named and Approved Account of the Sales Representative is non-commissionable. No designation, writing, or other action by MMG is required to make or keep an account non-commissionable.
9. **“Plan Year”** means the calendar year. Cumulative revenue for the tier schedule in Section 4 resets to zero at the start of each Plan Year.
10. **“Cumulative Named-Account Revenue”** means the running total of Approved Contract Value of the Sales Representative's Named and Approved Account engagements approved during the Plan Year, measured in the order the Approved Pricing Worksheets are approved.
11. **“Commission Rate”** means the tier rate(s) set out in Section 4.2, applied to Approved Contract Value (Revenue) — except that Section 4.4 applies instead for any engagement with a Gross Margin % below 30%.
12. **“Net Customer Payment”** means amounts actually received by MMG from the customer, net of refunds, credits, and chargebacks.

Plain-language summary (not a substitute for the terms above): Commission is a percentage of the deal's revenue, not its profit. Before any quote goes to the customer, Bill reviews the quoted margin and signs off — that Margin Integrity Approval is what locks in the commission rate. If the quoted margin comes in under 30%, commission switches to a straight 60/40 split of the actual Gross Profit instead (MMG 60%, Sales Representative 40%) — see Section 4.4. Once approved, none of this changes based on how the project actually performs.

3. Illustrative Example

Item	Amount
Approved Contract Value (Sales Price)	\$100,000
Approved Direct Delivery Costs	\$55,000
Gross Margin %	45%

Commission (Tier 1 rate, first \$250K)	10% × \$100,000 = \$10,000
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Whether the project later runs over or under budget, the commission is fixed at the amount set when Margin Integrity Approval was granted. See Section 4.4 for how a thin-margin quote (below 30%) is handled instead.

4. Commission Plan — Named and Approved Accounts

- 1. Scope — approval required.** Commissions are earned only on Named and Approved Account engagements sold by the Sales Representative and accepted by MMG. The Sales Representative must request account approval in writing before pursuing commissionable business; MMG may approve, deny, or scope the request (including limiting approval to a specific division, business unit, buying group, or opportunity within a larger account) in its sole discretion. All other business is non-commissionable by default.
- 2. Standard revenue tier schedule.** The Commission Rate is a percentage of Approved Contract Value (Revenue), stepping up with Cumulative Named-Account Revenue during the Plan Year. Rates are **incremental (marginal)**: each rate applies only to the revenue falling within that band — crossing a threshold does not retroactively change the rate on earlier revenue. If a single engagement spans a threshold, its Approved Contract Value is apportioned pro-rata between the bands.

Tier	Cumulative Named-Account Revenue (Plan Year)	Standard Commission Rate (% of Revenue)
1	First \$250,000	10%
2	Over \$250,000 up to \$500,000	12%
3	Over \$500,000	15% (cap)

- 3. Margin Integrity Approval — required on every quote, before the rate is agreed.** Before any customer proposal is sent and before a Commission Rate is agreed for that engagement, Bill Gusmano (or his written designee) must review the Gross Margin % shown on the Approved Pricing Worksheet and grant Margin Integrity Approval in writing. No commission accrues on an engagement lacking Margin Integrity Approval.
- 4. Margin protection below 30%.** If the Gross Margin % shown on the Approved Pricing Worksheet is below 30%, this engagement is commissioned on Gross Profit instead of

Revenue, split 60/40 between MMG and the Sales Representative: **commission = 40% of the engagement's Gross Profit** (Approved Contract Value less Approved Direct Delivery Costs), with MMG retaining the remaining 60%. For example, a \$100,000 quote at 25% Gross Margin has Gross Profit of \$25,000, so commission is $40\% \times \$25,000 = \$10,000$. This scales automatically with how thin the margin is — it is not a flat penalty — and applies only to that engagement; it does not change the Sales Representative's tier position under Section 4.2 for other engagements.

5. The applicable Commission Rate or Gross Profit split for an engagement is fixed at Margin Integrity Approval, based on the Gross Margin % and Cumulative Named-Account Revenue at that time, and is stated on the Approved Pricing Worksheet.
6. No commission accrues on any proposal that lacks both an Approved Pricing Worksheet and Margin Integrity Approval. MMG will prepare a pricing worksheet, and obtain Margin Integrity Approval, for every proposal before it is sent to the customer.
7. Actual project profitability — favorable or unfavorable — has no effect on commissions once Margin Integrity Approval is granted. Cost overruns, scope creep absorbed without a Change Order, staffing decisions, vendor changes, internal inefficiencies, and write-offs neither reduce nor increase the commission basis.
8. Discounts approved by MMG management before Margin Integrity Approval are reflected in the Approved Contract Value and Gross Margin % used for that approval. Post-approval discounts or concessions granted by MMG without a Change Order do not change the Commission Rate.

5. Earning, Payment, and Adjustments

1. **When earned.** Commission on an engagement is earned proportionally as Net Customer Payments are received by MMG, in the ratio that each Net Customer Payment bears to the Approved Contract Value.
2. **When paid.** Earned commissions are paid no later than the last day of the calendar month following the month in which the corresponding Net Customer Payment is received.
3. **Non-payment by customer.** If a customer fails to pay, commission is due only on amounts actually received. Commissions previously advanced on amounts later refunded or charged back will be offset against future commission payments.
4. **Change Orders.** If a Change Order changes the Approved Contract Value or Approved Direct Delivery Costs, a revised Approved Pricing Worksheet and a new Margin Integrity

Approval are required, and the Commission Rate is recalculated and applied prospectively.

5. **Splits.** Any commission splits between representatives on a Named and Approved Account will be documented in a written schedule approved by MMG management before Margin Integrity Approval.

6. Termination

1. Either Party may terminate this Agreement at any time, with or without cause, upon written notice.
2. Following termination, the Sales Representative remains entitled to commissions on engagements with an Approved Pricing Worksheet and Margin Integrity Approval dated before the termination date, to the extent Net Customer Payments on those engagements are received by MMG within ninety (90) days after the termination date. No commissions are due on payments received after that period or on engagements approved after the termination date.
3. Nothing in this Agreement modifies the at-will nature of any employment relationship or creates an obligation of continued engagement.

7. Records and Dispute Resolution

1. The Approved Pricing Worksheet, including the Margin Integrity Approval, is the conclusive record of the commission basis for each engagement. MMG will provide the Sales Representative a copy of each Approved Pricing Worksheet at or before Margin Integrity Approval.
2. Commission statements will accompany each commission payment. The Sales Representative must raise any dispute in writing within sixty (60) days of the statement date; statements not disputed within that period are deemed accepted.
3. The Parties will first attempt in good faith to resolve any dispute through direct negotiation between the Sales Representative and MMG's CEO or designee.

8. Confidentiality

The Sales Representative shall keep confidential all non-public MMG information, including pricing worksheets, cost structures, margin data, commission terms, customer lists, and deal

terms, both during and after the term of this Agreement, and shall use such information solely to perform under this Agreement.

9. General Provisions

- Governing law.** This Agreement is governed by the laws of the State of Arizona, without regard to conflict-of-laws principles. Venue for any action lies in the state or federal courts located in Maricopa County, Arizona.
- Entire agreement.** This Agreement, together with any written schedules and Approved Pricing Worksheets referenced herein, is the entire agreement of the Parties regarding sales commissions and supersedes all prior oral or written commission arrangements.
- Amendment.** This Agreement may be amended only in a writing signed by both Parties. MMG may amend the Commission Rate schedules or the 30% Gross Margin % threshold prospectively for future engagements upon thirty (30) days' written notice.
- Severability; waiver.** If any provision is held unenforceable, the remainder stays in effect. No waiver of any breach waives any other breach.
- No assignment.** The Sales Representative may not assign this Agreement or any right to commissions without MMG's prior written consent.
- Counterparts; electronic signature.** This Agreement may be executed in counterparts and by electronic signature, each of which is deemed an original.

Exhibit A — Approved Pricing Worksheet (Template)

Field	Entry
Customer / Engagement	
Proposal / SOW reference & date	
Approved Contract Value (Revenue)	\$
Estimated MMG employee labor	\$
Estimated approved subcontractor / freelancer labor	\$
Approved Direct Delivery Costs (total)	\$

Gross Margin %	%
Margin Integrity Approval (Bill Gusmano or designee — signature & date; required before rate is agreed)	
Cumulative Named-Account Revenue before this engagement	\$
Basis applied (Standard revenue tiers §4.2, or 40% of Gross Profit §4.4 if margin < 30%)	
Applicable rate / split	%
Commission at approval	\$

Exhibit B — Named and Approved Accounts

Accounts (or scoped portions of accounts) requested by the Sales Representative and approved in writing by MMG as commissionable. Anything not listed here is non-commissionable by default. MMG may amend this list in writing at its sole discretion.

Named and Approved Account	Approved scope (whole account / division / opportunity)	Approval date

MMG Global LLC
d/b/a The Motivated Mind Group

Sales Representative
Jeff Gibbs

Signature

Signature

Name: William J. Gusmano · Title: Co-Founder & CEO

Name: Jeff Gibbs · Title: CRO

Date

Date